HSC ECONOMICS · NEWS SUMMARY · STORY 8

STUDENT HANDOUT

# Unemployment at five-year high of 4.7% as jobs fall

ABS Labour Force (via ABC News, ICM, The Conversation), 15–17 October 2026 · Topic 3: Economic Issues · prepared 20 October 2026

**4.7%**
unemployment rate, Sept (seasonally adjusted); trend 4.6% [1][2]

**−39,300**
jobs lost in Sept; economists expected +20,000 [2]

**66.8%**
participation rate, down 0.2 points [1][2]

**6.3%**
underemployment rate, up 0.1 points [2]

The ABS Labour Force survey released on 15 October showed employment fell by 39,300 in September, against forecasts of a 20,000 rise. The unemployment rate was 4.7%, the highest since the pandemic, after August was revised up from 4.6% [1][2]. The weaker data reduced expectations of another Reserve Bank rate rise, and an RBA official said the labour market is loosening faster than the Bank forecast [2][4].

## KEY FACTS

- Part-time jobs fell by 73,700 while full-time jobs rose by 34,400. Total hours worked rose 0.1% [2].
- The number of unemployed people rose by 8,900 to 732,000. Employment fell to 14,782,700 [2].
- The participation rate fell to 66.8% and the employment-to-population ratio fell to 63.6% [2].
- The September quarter averaged 4.63% unemployment, already above the RBA's forecast of 4.5% for the December quarter [1].
- JP Morgan notes unemployment has risen 0.6 points since the RBA began raising rates in February [1].
- The ABS cautioned that changes to its survey may still affect the monthly figures, and the trend rate was steadier at 4.6% [1][2].
- Forecasts: NAB expects unemployment to reach about 5% by late 2027; Oxford Economics expects more than 4.8% [1][5].
- Wages: CommBank data show wages growing 3.3% over the year [6].

## SYLLABUS LINKS

- **Topic 3** Unemployment: measurement (labour force survey, participation, underemployment) and recent trends.
- **Topic 3** Types and causes of unemployment: cyclical unemployment as demand slows after rate rises.
- **Topic 3** Effects of unemployment: lost output, lower incomes, and impacts on the distribution of income.
- **Topic 4** Policy trade-offs: the RBA balancing inflation against rising unemployment.

## KEY TERMS

**Unemployment rate**: unemployed people as a percentage of the labour force (employed plus unemployed).

**Underemployment**: employed people who want, and are available for, more hours of work.

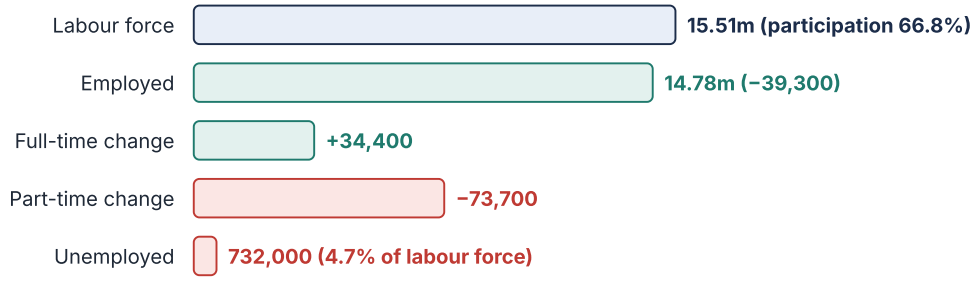
**Trend estimate**: a smoothed series that removes irregular month-to-month movements.

**Participation rate**: the labour force as a percentage of the working-age population (aged 15+).

**Cyclical unemployment**: unemployment caused by a downturn in aggregate demand.

**NAIRU**: the unemployment rate consistent with stable inflation; below it, wages and prices tend to accelerate.

## AUSTRALIA'S LABOUR FORCE, SEPTEMBER 2026




Labour force = employed + unemployed (14,782,700 + 732,000 = 15,514,700). Change bars are scaled to show relative size only. Data: ABS via ICM [2].

## COMPETING PERSPECTIVES

**A genuine weakening**

- Unemployment is above the RBA's own forecast [1].
- Kent (RBA) says indicators show the market loosening faster than expected [4].
- Several forecasters expect unemployment to approach 5% [1][5].
- Business confidence fell to −13, its weakest since May [6].

**Don't over-read one month**

- Trend unemployment held at 4.6% [1].
- Full-time jobs rose 34,400 and hours worked increased [2].
- The ABS warned of survey-change effects [2].
- Some economists, such as EY's, still expect a further rate rise because inflation is high [1].

## EVIDENCE FOR EXTENDED RESPONSE

**Sample question: Analyse the causes and consequences of recent changes in unemployment in Australia.**

- Causes: four RBA rate rises since February have slowed demand: cyclical unemployment [1].
- Data: 4.7% rate, −39,300 jobs, part-time −73,700, underemployment 6.3% [2].
- Consequences: lower incomes, more inequality, and less inflation pressure (the RBA's trade-off).
- Evaluate data quality: trend 4.6% and ABS survey caution [1][2].

## SHORT-ANSWER QUESTIONS 15 marks

**1.** Distinguish between the unemployment rate and the underemployment rate. **2 marks**

**2.** Calculate the size of the labour force in September 2026 and explain how a fall in participation can affect the unemployment rate. **3 marks**

**3.** Explain the link between the RBA's interest rate rises and the recent increase in unemployment. **4 marks**

**4.** Evaluate the economic and social costs of rising unemployment in Australia. **6 marks**

## SOURCES


1. ABC News, *Unemployment remains at 4.7pc in September with interest rate hike possible*, 15 Oct 2026. https://www.abc.net.au/news/2026-10-15/unemployment-rate-september-2026-australia/107268870
2. ICM, *Australian employment drops 39,300 as jobless rate holds at 4.7%*, 15 Oct 2026. https://www.icm.com/australia-employment-falls-september-2026-unemployment-rba/
3. The Conversation, *Unemployment in Australia hits a five-year high of 4.7%, making a rates hike less likely*, 15 Oct 2026. https://theconversation.com/unemployment-in-australia-hits-a-five-year-high-of-4-7-making-a-rates-hike-less-likely-294463
4. Reserve Bank of Australia, *Fireside chat at the Commonwealth Bank's Global Markets Conference (Christopher Kent)*, 19 Oct 2026. https://www.rba.gov.au/speeches/2026/sp-ag-2026-10-19.html
5. ABC News, *ASX markets and business live blog*, 16 Oct 2026. https://www.abc.net.au/news/2026-10-16/asx-markets-business-news-live-updates-oct-16/107271360
6. MacroBusiness, *The economic week in review*, 17 Oct 2026. https://www.macrobusiness.com.au/2026/10/the-economic-week-in-review-3/


Note: The Conversation article **[3]** could not be opened (access blocked), and SMH/AFR coverage could not be retrieved; facts come from the other sources listed, which report ABS data. Check the ABS release for exact figures.